

Often I'll sell after poor earnings in my swing trades, but apparently chose to ignore it in this buy-and-hold.

- Lesson: Sell quickly if the market doesn't like an earnings announcement. Otherwise, it could be months or longer for price to recover.

Sample Trade

Perhaps the most interesting way to illustrate trading tactics is by example. John is new to investing, and he did not take the time to learn thoroughly about BARR bottoms. As he flipped through his stock charts one day, he noticed an intriguing situation developing in the stock depicted in [Figure 14.7](#).

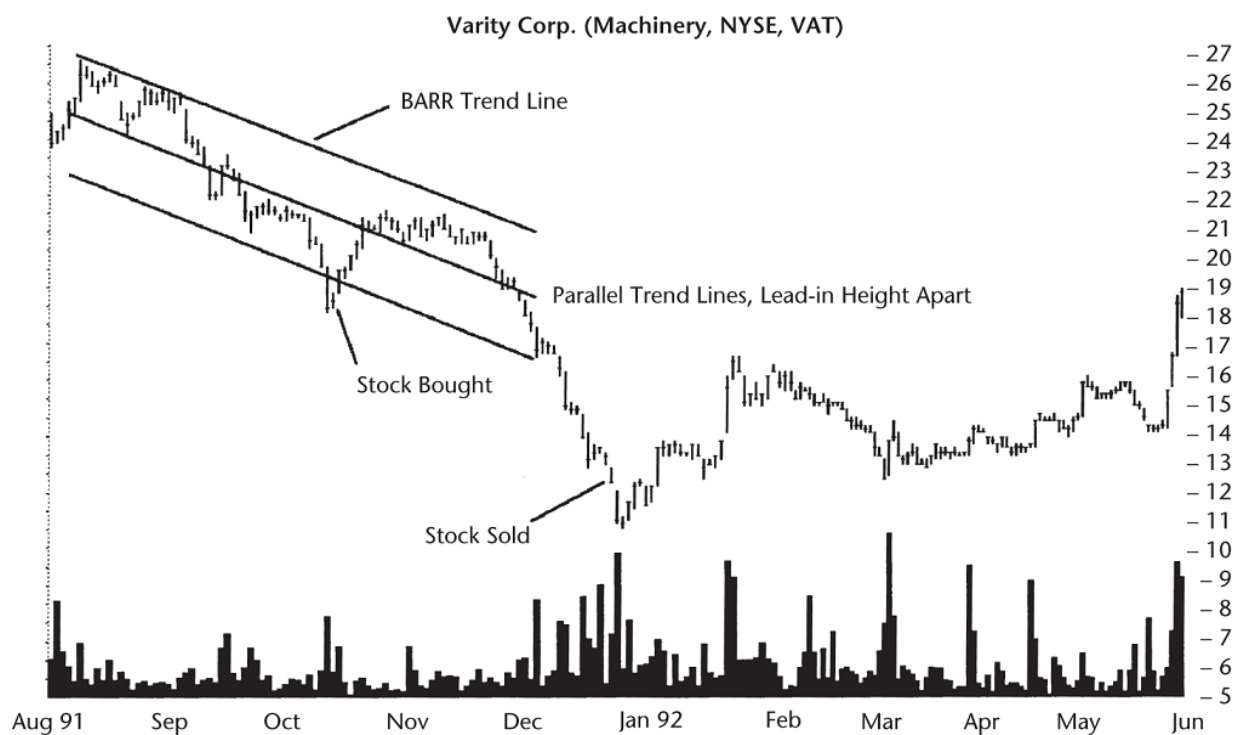


Figure 14.7 A bump-and-run reversal bottom failure in which John invested. He finally sold the stock just 2 days before it reached its low.

During August, the stock peaked, declined a bit, and then formed a second minor high. As the stock declined from the second high, John drew a trendline down connecting them. Soon, he noticed that the stock was